

OCGN pitch deck

PITCH — OCGN — VERDICT

PROPOSED — PENDING ADJUDICATION — No position. Both benches land on flat with named reasons, not on unresolved questions; what follows is a reopen plan, not a buy.

What we believe

Ocugen is a pre-revenue gene-therapy company whose stock is down ~50% from its 52-week high (\$1.34 last, high \$2.725, low \$1.00). The original idea brought to court was: “the company just raised \$130M, tripled its cash, killed the funding-death story, and the tape never repriced it.”

We now believe that idea is wrong, and we believe it for four specific reasons that we verified in the company’s own filings:

1. The company itself says it may not survive the year — and it said so after the raise.

The 10-Q filed 2026-08-06 states, verbatim: *“the Company has concluded that there is substantial doubt about the Company’s ability to continue as a going concern within one year after the date these condensed consolidated financial statements are issued.”* That conclusion was reached while holding the \$100M. The press release issued the same day talked about “increased flexibility” and runway “into 2028.” The idea we were testing was built on the press release; the audited-scope document says something else.

2. The company has more claims on its shares than shares it is allowed to issue. Shares outstanding 339.04M, plus options 29.95M, restricted stock 2.35M, performance stock 11.84M, warrants 10.63M = **393.81M against a charter ceiling of 390M**. Add the 12.1M still available to grant under the equity plans and it is 405.9M. This is a breach today, before a single convertible note converts. Fixing it requires a shareholder vote on 2026-09-21.

3. Net cash is negative. \$100.05M cash plus \$0.32M restricted against \$130M of 6.75% convertible notes = **negative \$29.6M**. The prior Avenue loan of \$32.7M was retired by borrowing four times as much. The balance sheet was refinanced, not repaired.

4. Cash is going out at about \$19M a quarter all-in (\$17.0M of operating burn from the six-month cash flow statement, plus ~\$2.2M of interest), against \$100.4M on hand — and management, looking at that same statement, still declared doubt.

None of these are clinical problems. Both benches independently checked the trial footprint and agreed the programs did not slip (the Phase 3 liMeliGhT study has 140 patients enrolled; ArMaDa3 is FDA-cleared). **The case against this stock is financial and procedural, not scientific.** We state that plainly because it cuts against us as much as for us.

What the market believes

Two markets, and they disagree violently.

- **Sell-side analysts** carry an average price target of **\$11.66** across 13 analysts (Lucid at \$15, Oppenheimer at \$10). Lucid models peak sales for the lead program, OCU400, at \$3.2B by 2032.
- **The tape** is at **\$1.34** — about one-ninth of the published target.

A gap that wide is not a market that hasn't heard the story. It is a market that has heard it and refuses to pay for it. Our own read is that the tape is discounting the entire commercial model plus the financing and governance mess described above, and that the analyst targets are modeling a fully-funded company that does not currently exist.

The shareholder base is heavily retail — this was a 2021 COVID-vaccine story stock, and the June 2026 annual meeting shows the fingerprints: only 41% of shares showed up to vote, with a large block of shares brokers could not vote on non-routine items.

Why we might have edge

Not on the science, and not on the funding story — the funding story is the single most published fact about this company.

The edge, if there is one, is arithmetic that nobody appears to have published:

- **No sell-side note we found states that the charter share ceiling is already breached.** That is a sum of five numbers out of one equity footnote. It converts the September 21 vote from housekeeping into something closer to a solvency-adjacent event.
- **No note states the vote math.** The charter amendment runs under Delaware law §242(b): it needs a majority of *all outstanding shares* — **169,555,201 votes FOR** — not a majority of votes cast. In June, total shares represented at the meeting were **139,628,075**, and the closest comparable item (where brokers could vote their discretion, as they can here) drew **136,784,245 FOR**. Even if every share represented in June voted yes, it falls ~30M short. Turnout has to rise roughly 24%.
- **A second, harder deadline nobody is discussing:** a January 2026 letter agreement with the CEO requires shareholder approval by **2026-12-31**, failing which certain performance shares and options must be **settled in cash, with interest and a tax gross-up**. In a company that has just declared going-concern doubt, that turns equity compensation into a cash claim. The dollar amount is not itemized in the proxy.

So: our funding view adds nothing (everyone has it). Our *governance and share-ceiling* view is genuinely not in the published record. Whether the market pays for that is a different question — see below.

Why it might be priced in

Honestly, most of it probably is, and we should say so:

- **The 50% drawdown is not a mystery.** A stock at \$1.34 with a \$455M market value against negative net cash and a going-concern paragraph is a stock that has already been marked down for exactly these facts. We are not discovering a dislocation; we are explaining one.
- **Going-concern language is public.** It is in a filed 10-Q that anyone can read. Screens flag it automatically.
- **The convertible arbitrage community already knows the share-reserve mechanics** — they wrote the terms. If anyone is trading the vote, it is them, and they are ahead of us on it.
- **Our valuation work does not say “cheap.”** Using the benches’ own assumptions (4x peak sales, 50% probability of success, 0.6 present-value factor, ~360M shares while the stock is below the \$2.68 conversion strike):

Peak sales for OCU400	Value per share
\$200M	~\$0.58
\$600M	~\$1.92
\$1.2B	~\$3.74
\$3.2B (Lucid’s number)	~\$9.56

Today’s price implies roughly **\$400–410M of peak sales**. That is between the bear and the middle case — a modest discount to fair, not a giveaway. To make +50% (\$2.04) you need the market to believe in about **\$637M** of peak sales. That is a real gap but not a screaming one, and it assumes the company is funded to get there, which is precisely what is in doubt.

What could go wrong

This section is about the *proposed* position — a small starter bought only after the vote passes and the going-concern language is withdrawn. We are flat today, so the near-term risk is being wrong about staying out; the medium-term risk is buying the cure and losing anyway.

Failure narrative 1 — the cure is the dilution. The vote passes on September 21. We read that as the all-clear and buy a starter. But passing the vote is exactly what makes ~50M reserved shares issuable and unblocks the company’s ability to sell stock. The going-concern paragraph gets withdrawn in the Q3 10-Q *because* the company did an at-the-market equity program or a follow-on into the relief rally. We bought the announcement of the cure and paid for the dilution that constituted the cure. **Tripwire exists:** an S-3 or 424B5 prospectus supplement, an 8-K on a new financing, and the share count on the cover of the next 10-Q. All monitorable, but all with a lag of days to weeks — the selling happens before the disclosure.

Failure narrative 2 — right on the arithmetic, unpaid by the tape. Everything we found is correct and nothing happens. This is a retail-dominated former meme stock. The population that sets its price does not read equity footnotes and does not reprice on charter-amendment mechanics. We hold a starter that drifts with biotech beta and sentiment for a year while our specific insight never gets

marked. **Tripwire exists but it is weak:** a time stop. If the thesis has not been paid within two quarters of entry, it was a research exercise, not a trade.

Failure narrative 3 — NO MONITORABLE TRIPWIRE. The FDA's internal read of the biologics application — the manufacturing and process-validation package in particular — goes badly, and the first public evidence is a Refuse-to-File or a Complete Response Letter, or a clinical hold arrives on a platform safety signal from a single patient. There is no filing, no proxy, no cash-flow line, and no alternative-data channel that precedes this. The regulator's view and the company's unblinded safety data are both private until the moment they are not, and the stock gaps 40–60% on the announcement. **Unknown-unknown class: regulator-private / sponsor-private binary — a single-point event with no observable precursor.** We cannot instrument this. We can only size for it. Any position in this name must be sized as if this event happens without warning, because it can.

The reflexive and structural leg. Our own size is *not* the problem here: a 0.5% starter is trivially small against this stock's dollar volume, and we would be a price-taker in both directions. (Caveat: average daily volume was not in our evidence pack and we did not verify it — flagged below.) The real reflexive risks are three, and two of them are self-inflicted:

- **We would be bidding into predicted supply.** If the vote passes, convertible holders can hedge properly for the first time, and delta hedging of a \$130M convert against a \$1.34 stock is a supply event. Our entry signal and the arbitrage community's selling signal are the same event. The blue bench's instruction — never bid into that supply before the vote — should extend past it: stagger any starter across the days after the result, do not buy the print.
- **Our own doctrine could push us into a position conviction doesn't support.** We have a standing rule that a court which produces no named kill defaults to a minimum starter. Here the kills are named, so the rule is correctly suppressed. But the reopen plan is written so that *curing two conditions* flips us to a buy. That is a mechanical trigger, and mechanical triggers get pulled by the letter rather than the spirit. If the vote passes and the going-concern paragraph disappears but a new equity program appeared in the same period, the cure is cosmetic and the trigger should not fire.
- **We have a documented weakness on this exact stock archetype.** Our earnings-dislocation template is 0-for-7 on the general principle that a big move is an underreaction; and we have a standing note that momentum in meme-adjacent names overruns model-derived levels in both directions. This name is squarely in that family.

Also worth naming: the risk of staying out. If the vote passes, going-concern is withdrawn on non-dilutive terms, and the Phase 3 reads out well, this stock goes to the analysts' numbers and we own none of it. Our flat position is a real, if unbooked, way to lose.

If this position loses money, the most likely reason will be that we bought the resolution of the vote and the going-concern paragraph, and the resolution was itself an equity issuance — we paid up for a cure that was administered in the form of the dilution we were trying to avoid.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Going-concern doubt exists post-raise	Both benches independently pulled the 10-Q (2026-08-06) Note 1	Verbatim “substantial doubt... within one year”	Yes
Same-day press release said the opposite	8-K Exhibit 99.1 vs. 10-Q, same filing date	PR: “increased flexibility,” runway “into 2028.” Filing: doubt.	Yes
Shares + awards exceed authorized	Summed the 10-Q equity footnote	393.81M vs. 390M authorized; 405.9M including 12.1M unallocated plan reserve	Yes — and our red bench <i>understated</i> it by omitting the plan reserve
“Dilution is +36%”	Traced the 67,629,947 figure to its source	It is the Nasdaq 19.99% listing cap, not expected conversion. Actual economics: $\$130\text{M} \times 372.7866/1,000 = \mathbf{48.46\text{M shares (14.3\%)}}$, only above \$2.68	No — OUR RED BENCH ERRED. It used a regulatory ceiling as an economic share count
Prize table valuation	Re-derived from the benches’ own assumptions	Red counted the fully-converted share count <i>and</i> subtracted the debt the conversion extinguishes — double-counting. Understated value ~22% and overstated the +50% hurdle from \$637M to \$780M of peak sales	No — OUR RED BENCH ERRED
The corrected prize table itself	Re-ran the blue bench’s own arithmetic row by row	The \$3.74 row implies ~385M shares; the \$9.56 row implies ~402M; the bench stated ~412M. The rows do not share a denominator	No — OUR BLUE BENCH ERRED. Direction is right; the two upper rows are ~5% too generous. The \$1.92 mid case and the \$637M hurdle <i>do</i> reconcile and stand
Vote threshold	DEF 14A “Required Vote”	Majority of all outstanding = 169,555,201 FOR ; abstentions count as against; brokers <i>do</i> have discretion	Yes
June turnout as the benchmark	8-K Item 5.07 (2026-06-11)	139,628,075 shares represented; 136,784,245 FOR on the comparable broker-discretionary item	Yes — shortfall ~32.8M, needs ~24% more turnout
“Therefore the vote fails”	Read the full DEF 14A proposal list	There is an explicit adjournment proposal to solicit more proxies. Failure on 9/21 means re-solicitation, not a terminal event	No — OUR RED BENCH ERRED by omission
Consequence of missing the 9/30 indenture deadline	DEF 14A	Company must “use best efforts” — no event of default, no additional interest disclosed	Yes — red left this as an open gap and treated it as severe; it is not
Cash-settlement risk on the notes	Conversion price \$2.68 vs. \$1.34 tape	Cannot trigger at anything near current prices	Yes — a risk red priced that is unreachable
CEO letter agreement, 12/31/2026 deadline	DEF 14A	Real: mandatory cash settlement plus interest and tax gross-up on certain	Partial — text confirmed, dollar

Claim	How checked	Found	Confirmed?
		performance shares and options if approval isn't obtained. 11.84M performance shares outstanding	amount not itemized anywhere. Our red bench missed this entirely
“Proxy supplement implies management is short of votes”	Read the 2026-08-14 DEFA14A	Bare meeting notice. No tally, no adjournment language	No — our red bench found and retracted its own inference. Correctly done
“Management contradicts its own cash flow statement”	Our own arithmetic, beyond both benches	$\$100.4\text{M} \div \$19.2\text{M}/\text{qtr} = 15.7$ months of runway; the doubt horizon is 12 months from issuance. Management's conclusion implies roughly a 20% step-up in burn — consistent with starting a Phase 3 — not a contradiction	Softened. Both benches framed this as management contradicting itself. It is better read as management planning to spend ~20% more. The finding survives; the drama does not
Net cash	10-Q balance sheet	–\$29.6M; notes due 2034 with a 2032 investor put	Yes, with a correction: no near-term claim on the cash. “Financed, not repaired” is the accurate phrase
Did the clinical programs slip?	Clinical trial registry	No. liMeliGhT enrolled 140; ArMaDa3 cleared	Yes — and this is a point in the company's favour, conceded by both benches
Street target \$11.66	Secondary aggregators only	Not re-checked against a primary analyst note	Unverified
Last price	Pack shows \$1.34 (Yahoo); red bench used \$1.36 (broker feed)	Immaterial to every conclusion, but the benches were not working from an identical tape	Noted
Average daily volume	—	Not in the evidence pack; not checked	Unverified — see below

PROPOSED ENTRY BANDS

No entry. The courts say no-entry, so these are reopen bands.

Reopen requires BOTH of the following, together — neither alone:

1. An 8-K under Item 5.07 showing **Proposal 1 (charter share increase) PASSED** with at least **169,555,201 votes FOR** — on 2026-09-21 or at any adjourned session before 2026-12-31; **and**
2. A Q3-2026 10-Q that **removes the going-concern paragraph** from Note 1.

Plus one condition of our own, added because of Failure Narrative 1: the cure must not have been administered by selling stock. If the Q3 10-Q cover share count is up more than ~5% from

339.04M, or an at-the-market program or follow-on appears in the interim, the reopen is void and the file goes back to court rather than to a trade.

If all three conditions are met:

Level	Action	Size	The arithmetic behind it
$\leq \$1.75$	Open starter	0.4% of book	The corrected mid case (a \$600M peak-sales outcome) is \$1.92/share. \$1.75 is a ~9% discount to the middle of a range whose bear case is \$0.58 — a thin margin, hence a thin size
$\leq \$1.25$	Add	to 0.75% total, hard cap	Implies ~\$370M of peak sales, below the bear-to-mid midpoint; the point at which the market is paying us for the risk rather than the reverse
$\leq \$1.00$	Do NOT add. Re-court.	—	A break of the 52-week low is the market pricing the paths we said would kill it. Buy evidence, never the break
\$2.68	Structural marker, not a trade	—	Conversion price of the notes. Above it, dilution flips to the fully-converted case and cash-settlement exposure on the notes disappears entirely
$\geq \$3.74$	Trim to half	—	The middle-upper valuation case (\$1.2B peak sales) fully paid, on the corrected table — and that row is the one our own blue bench got ~5% too generous, so trim into it, don't hold for it

Execution rules if entered: stagger over at least three sessions following the vote result; never buy the result print (convertible hedgers have supply into it). Never enter before the vote under any circumstances.

Sizing ceiling regardless of price: 0.75% of book. Failure Narrative 3 — a clinical hold or a Refuse-to-File with no warning — is unhedgeable and unmonitored. Size is the only defense we have against it.

Catalyst dates: - **2026-09-21** — Special meeting; vote on the charter share increase. *Primary-verified from the DEF 14A.* The binding event. - **2026-09-30** — Indenture deadline for the share-reserve approval. *Primary-verified.* Missing it triggers a “best efforts” obligation only — no default, no penalty interest. - **2026-11-05** — Estimated Q3 earnings. **UNCONFIRMED** — derived from a data vendor, not from any company announcement. Do not treat as a date until a company release names it. - **2026-12-31** — Deadline in the CEO letter agreement. Missing it forces cash settlement plus interest and a tax gross-up on certain performance shares and options. *Primary-verified; dollar amount unknown.* This is the harder of the two deadlines and the one nobody is talking about.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 1.0 (deck-provisional: 52-week low break — do not add, re-court; the market is pricing the going-concern and vote-failure pat)
- filing watch: 8-K until 2027-02-24 (deck-provisional: Item 5.07 vote result on the charter share increase; needs $\geq 169,555,201$ FOR. Watch 2026-09-21 through)
- dated pack OCGN|2026-09-21: OCGN: Special meeting; vote on charter share increase; needs majority of ALL outstanding (169,555,201 FOR) vs 139,628,075 represented in Jun
- dated pack OCGN|2026-09-30: OCGN: Indenture deadline for share-reserve approval; remedy is ‘best efforts’ only, no default and no additional interest (date confirmed=Tr
- dated pack OCGN|2026-11-05: OCGN: Estimated Q3-2026 earnings; vendor-derived, no company release names it (date confirmed=False)
- dated pack OCGN|2026-12-31: OCGN: CEO letter-agreement deadline; failure forces cash settlement plus interest and tax gross-up on certain PSUs and options, amount undis

What remains unverified

- **The dollar amount of the CEO letter-agreement cash settlement.** The proxy discloses the mechanism but does not itemize the obligation. With 11.84M performance shares outstanding and a company that has declared going-concern doubt, this is the most consequential unknown in the file, and it is the one the courts flagged last.
- **The \$11.66 analyst consensus target.** Sourced from aggregator sites only. No primary analyst note was read. Everything we say about the analyst-versus-tape gap rests on this and it is our weakest-sourced load-bearing number.
- **Average daily volume.** Not in the evidence pack, not checked. We assert our size is immaterial to the market; we have not proven it. Must be verified before any order is written.
- **Whether the September record-date holder base differs from June’s.** The entire vote-shortfall argument compares two meetings with different record dates. If the register turned over

materially, the June turnout is a weaker benchmark than we are treating it as.

- **The Q3 earnings date.** Vendor-derived. No company release names it.
- **Our own upper valuation rows.** The \$3.74 and \$9.56 figures do not share a share count and are ~5% generous. They need a clean rebuild before anyone trades against them.
- **The peak-sales inputs themselves.** Ocugen publishes no pricing or eligible-population model. The 4x-sales, 50%-probability, 0.6-discount framework is a reasonable convention, not a verified estimate, and every value in the table inherits that.
- **Whether the going-concern conclusion was reached under a spending plan the company has disclosed.** We inferred a ~20% burn step-up from the arithmetic. We have not found the plan that produces it.

Primary sources: [10-Q, quarter ended 2026-06-30 — Note 1 going concern, note terms, equity footnote](#) · [DEF 14A, 2026-07-30 — required vote, adjournment proposal, best-efforts remedy, CEO letter agreement](#) · [8-K Item 5.07, 2026-06-11 — June meeting turnout](#) · [8-K Exhibit 99.1, 2026-08-06 — the same-day press release](#)

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